

ILLUSTRATION BY **RAJ VERMA**

non-rebatable excise and/or cess on polluting and demerit inputs and outputs.

Further, the GST rate structure needs to be streamlined. We can have at best two to three rates. This structure may consist of a core rate, a concessional rate for goods of mass consumption, and a demerit rate for polluting and other demerit, including luxury, goods.

Another issue with GST 1.0 relates to high compliance costs because of excessive formalities

accompanied by continued tax evasion. There is a need to further simplify compliance formalities of GST.

This reform can not only serve the purpose of restoring revenue buoyancy but also protect the revenue autonomy of central and individual state governments. The GST core rate may be fixed at a suitable level, but it is the non-rebatable levy that can be used to calibrate with upward and downward adjustments. Both the Centre and states may be

given flexibility in determining the applicable rate of levy in their respective jurisdictions.

The GST Council may have to play a critical role in continuing with GST reforms so that it is transformed into a truly comprehensive value-added tax system.

GST 2.0 should be designed to ensure comprehensive coverage of all goods and services, a reduced number of tax rates, and reduced compliance costs by further simplifying compliance formalities. The Goods and Services Tax Network has access to a comprehensive dataset, which should be streamlined and shared with all state governments and other stakeholders so that inter-state trade and import data can be studied for further optimising India's growth rate.

Future GST reforms should include:

- (1) further rationalisation of GST rates, reducing to at best, a two or three rate structure.
- (2) Bringing into its ambit demerit and polluting goods with the provision of a non-rebatable levy to make up for the consequent revenue loss and provide appropriate signals for demerit and polluting goods.
- (3) Further strengthening of the IT platform and reduction in compliance requirements.
- (4) Strengthening GST data and sharing it with not only central and state governments but also with other stakeholders.

A domestic indirect tax system that promotes a genuine all-India market, promotes production and consumption efficiency, and minimises compliance costs is critical for India to achieve its Viksit Bharat ambitions. **BT**

Views are personal